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remain high for a long time, they will affect our inflation outlook. Hopefully, the ceasefire will help to bring prices down to a more comfortable level of \$60-65 per barrel.



While the reciprocal tariffs by the US are

on a 90-day pause for now, how can India make the best of this situation? Do you think a trade deal at all costs is advisable?

It depends on what is on the table, and obviously, the United States has a reputation for being a tough negotiator, and

they have several issues that are not easy for a developing country like India to agree to. For instance, TRIPS+ provisions (The Agreement on Trade-Related Aspects of Intellectual Property Rights) can hurt our pharmaceutical sector. They also have genetically modified varieties of some crops that one should be willing to import. We have some concerns on that, as well as on labour standards, capital flows, and agriculture. But there are several things we can easily trade on. If a limited agreement is reached to begin with, focusing on exporting products of mutual interest and gradually expanding the scope, it would be mutually advantageous. For instance, India gets market access for labour-intensive products like textiles, garments, leather goods, gems and jewellery, toys, furniture, and processed foods, which are imported by the US in large quantities and where they do not have a comparative advantage. Our exports will not hurt their industries and jobs. Similarly, India is a major importer of oil, of which the US is a major exporter. There is also a possibility of importing some precious metals like gold from them. Certain goods that we import from other sources can be bought from the US.



India's investment scenario continues to be seen as challenging by several foreign

investors, and foreign direct investment (FDI) inflows have been on a downward trajectory. What can be done on this front to revive FDI inflows?

Gross FDI inflows have increased from \$ 71 billion in FY23 and FY24 to \$81 billion in FY25, which is impressive against the backdrop of the decline in global FDI inflows. This is a vote of confidence in India's potential. FDI outflows have increased on two accounts: one is the repatriation of some FDI, and the other is outward investment from India. Outward investment from India should not be subtracted from FDI inflows, because it is a positive trend. It shows that Indian companies are becoming more international in their outlook, and this is the trend that should be encouraged. One should treat FDI inflows and outward FDI as separate categories, and both are good for the Indian economy. So, more FDI coming to India is a good thing. At the same time, more Indian companies investing abroad, expanding their global reach through outward investment, is also a positive thing. However, in the past year, some foreign companies repatriated their capital besides profits. That makes the FDI inflows in net terms seem rather low. But if new inflows continue to come in, there is nothing to worry about. **BT**

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